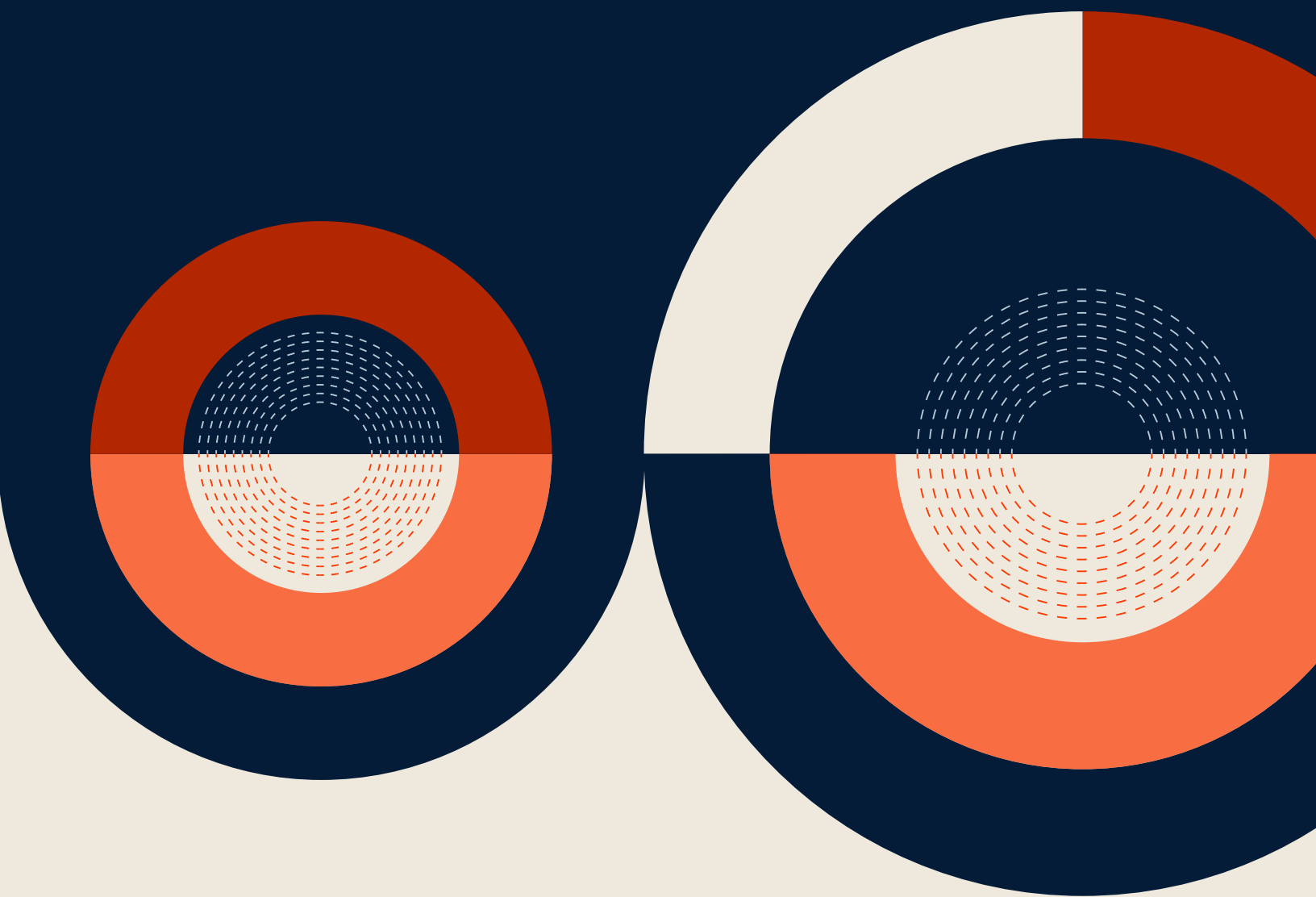




High-Yield Bond Weekly Wrap



Chasing the sun

Despite geopolitical headwinds, the high-yield bond market remains resilient, with weekly issuance expected to top \$9 billion. June is on pace to exceed \$32 billion in issuance — the highest monthly volume in nine months. Meanwhile, high-grade dealmaking topped expectations, with \$32 billion priced in just four days (June 23-26), pushing June's total to \$96 billion.

— Commentary, page 4

While the outlook isn't any clearer now than it was on "Liberation Day," high-yield borrowers pressed the pace in the second quarter, taking advantage of a remarkable full recovery in prices and spreads after early April market seizures.

— US High-Yield Quarterly Wrap, page 5

Stat of the week

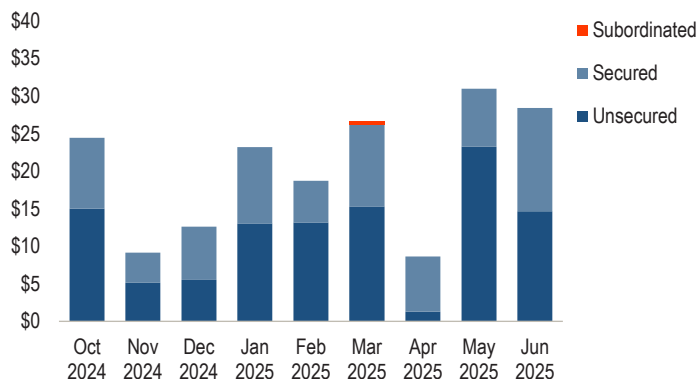
The \$23 billion of YTD cross-border HY issuance (dual/multicurrency deals sold concurrently into the US and European markets) marks a 10-year high, more than doubling the 2024 pace.

Recently completed high-yield deals

Issuer	Rating	Size (\$M)	Coupon	Maturity
Champion Iron Canada Inc.	BB-/NR	500	7.88%	2032
Czechoslovak Group	BB+/Ba1	1,000	6.50%	2031
Delek Logistics Partners LP	BB-/B2	700	7.38%	2033
Sizzling Platter LLC	B/B3	500	9.50%	2032
Azorra Aviation LLC	BB-/B1	550	7.25%	2031
Lendmark Financial Services LLC	NR/B1	400	8.75%	2030
Tidewater Inc.	BB-/B3	650	9.13%	2030
Crescent Energy Company	B+/Ba3	600	8.38%	2034
StoneX Group Inc	BB-/Ba3	625	6.88%	2032
X.AI LLC	NR/NR	3,000	12.50%	2030
AMC Networks Inc	BB-/B2	400	10.50%	2032
Phoenix Aviation Capital	NR/B2	550	9.25%	2030
Realogy Holdings Corp	B/B3	500	9.75%	2030
Beacon Mobility	B/B1	550	7.25%	2030
Cvent	B-/B3	325	8.00%	2030
Rithm Capital Corp	B-/B3	500	8.00%	2030
Under Armour Inc	BB-/B1	400	7.25%	2030
Level 3 Communications Inc	B+/B1	2,000	6.88%	2033
Unisys Corp	B+/B2	700	10.63%	2031
Global Partners LP	B+/B1	450	7.13%	2033

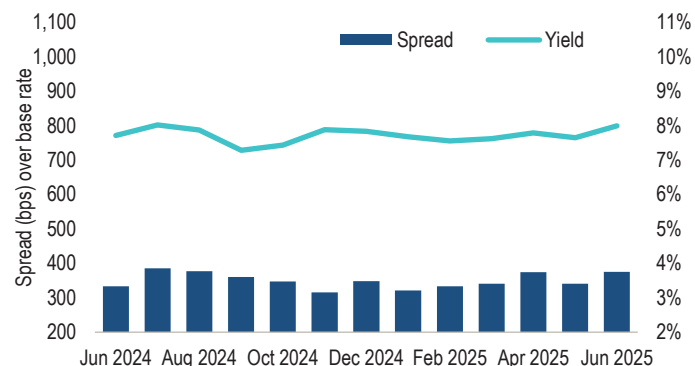
Source: PitchBook | LCD

New-issue high-yield volume, by month (through yesterday) (\$B)



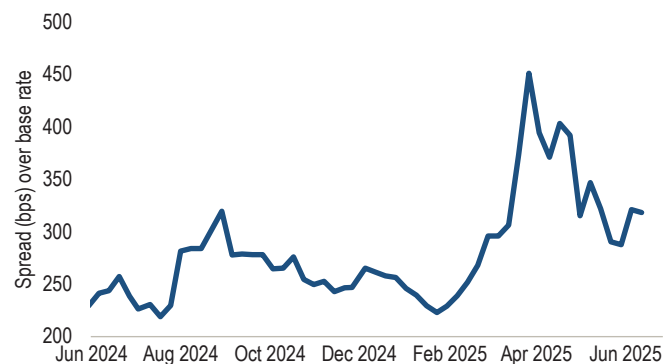
Source: PitchBook | LCD

Average spread and yield for new-issue high-yield deals



Source: PitchBook | LCD

Average spread of high-yield flow names

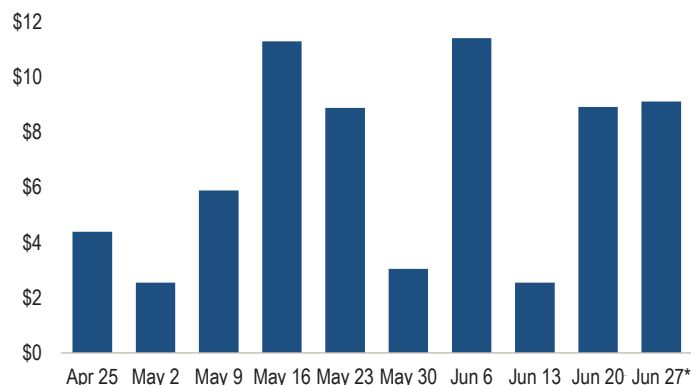


Note: vertical lines indicate dates when flow-name constituents were updated.

Source: PitchBook | LCD

Inside this week. . .

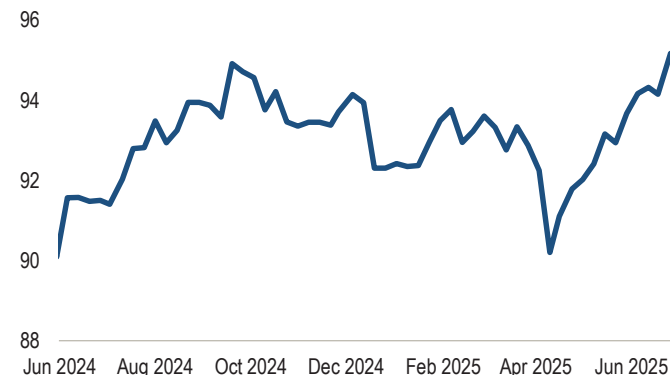
New-issue high-yield volume, by week (\$B)



*Pro forma

Source: PitchBook | LCD

Average bid of high-yield flow names



Note: vertical lines indicate dates when flow-name constituents were updated.
Source: PitchBook | LCD

High-yield primary: Unfazed

page 4

Despite rising geopolitical tensions, the high-yield bond market has remained largely steady. Primary issuance this week is expected to top \$9 billion, slightly up from last week's \$8.93 billion. The number of tranches also rose, with 12 expected to price by Friday, versus 10 last week. June is on track to surpass \$32 billion in issuance by this week's close, marking the highest monthly volume in nine months.

Recently completed high-grade deals

Issuer	Rating	Size (\$M)	Coupon	Maturity
CaixaBank SA	BBB+/Baa2	1,000	4.63%	2029
CaixaBank SA	BBB+/Baa2	1,000	4.89%	2031
CaixaBank SA	BBB+/Baa2	1,000	5.58%	2036
Cheniere Energy	BBB+/Baa2	1,000	5.55%	2035
Honda Motor Inc	A-/A3	1,000	5.34%	2035
Honda Motor Inc	A-/A3	1,300	4.69%	2030
Honda Motor Inc	A-/A3	700	4.44%	2028
Welltower Inc	A-/A3	600	4.50%	2030
Welltower Inc	A-/A1	650	5.13%	2035
American National Group Inc	BBB/NR	700	6.00%	2035
Imperial Brands	BBB/Baa2	850	4.50%	2028

Source: PitchBook | LCD

High-grade: On the regular

page 10

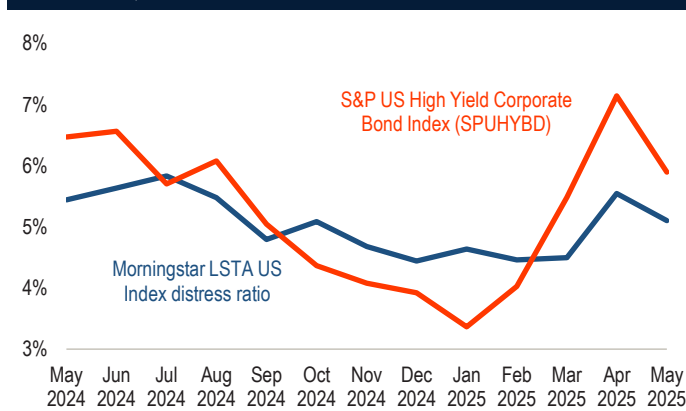
Remarkably consistent deal flow in June included a roughly \$32 billion influx June 23-26, which blasted past subdued expectations for about \$20-25 billion for the entire week. Issuance is \$96 billion for June. After May's dramatics (there were six double-digit session totals last month, including a \$25 billion session on May 6), this month's totals are more regulated, with no session topping \$10 billion.

High-yield secondary: Chasing the sun

page 9

Cash-bond prices advanced over the week and the new-issue pipeline churned as a roiling geopolitical backdrop failed to diminish risk appetite. Treasury rates eased further off their June peaks, while spreads edged five basis points tighter from Monday's open, to 293 bps off the curve. Meanwhile, the option-adjusted spread on LCD's flow-name sample of liquid high-yield issues tightened 19 bps this week, to T+282.

Distress ratio, bonds versus loans



Sources: PitchBook | LCD; S&P Dow Jones Indices

Distressed: Out of sync

page 11

As the second quarter of 2025 winds down, a wave of credit downgrades and restructuring moves has underscored deepening financial stress across sectors, with May marking the highest monthly global default count in nearly five years, according to S&P Global Ratings. Of May's 19 defaults, the US led with nine, bringing its YTD total to 30, while Europe saw six defaults, for a YTD tally of 16.

High-yield primary market: Unfazed

Despite rising geopolitical tensions, the high-yield bond market has remained largely steady. Primary issuance this week is expected to top \$9 billion, slightly up from last week's \$8.93 billion.

The number of tranches also rose, with 12 expected to price by Friday, versus 10 last week. June is on track to surpass \$32 billion in issuance by this week's close, marking the highest monthly volume in nine months and the largest June total since 2021, when it reached \$39.53 billion.

While 2025's volume continues to trail 2024, the gap has started to narrow. Pro forma year-to-date volume of \$140.18 billion through June 27 is down 13% from the same period last year.

High-yield performance has provided a glimpse into the appetite for risk assets. The average spread to US Treasuries tightened two basis points in the week to June 25, to T+293, according to the S&P US Issued High Yield Corporate Bond Index. The average yield to worst shed 26 bps to 7.14%. June's 1.36% return includes a 0.70% weekly gain, for a year-to-date return of 4.08%, the index shows. The riskiest segment of the index — CCC bonds — led the gains with a 1.04% seven-day return. Double-B paper returned 0.62%, and single-B notes 0.69%.

While refinancing remains the primary driver of issuance, several deals this week supported leveraged buyouts and M&A.

High-yield stats

\$ billion	This week	Last week	Change
Volume (pro forma)	\$9.13	\$8.93	\$0.20
Trailing 4-week average	\$8.01	\$6.49	\$1.52
Flow-name price	95.18	94.16	1.02
Flow-name yield	6.46%	6.74%	-0.28%

YTD issuance	2025	2024	Change
Volume (pro forma)	\$140.18	\$161.63	-13%

Source: PitchBook | LCD

Note: Pro forma volume includes deals not yet completed.

Sizzling Platter, which owns the Little Caesars, Jamba, Wingstop, Dunkin' and Jersey Mike's brands, approached investors with a \$500 million secured notes (B/B3) deal in connection with Bain Capital's buyout of the company. The seven-year paper cleared at par to yield 9.50%, or at the tight end of guidance.

The company also landed a \$425 million term loan B and an \$80 million delayed-draw term loan to finance the transaction. Proceeds will repay existing debt and back general liquidity.

StoneX added to the M&A allotment via its \$625 million placement for seven-year secured bonds (BB-/Ba3). The company pitched the deal to investors to support its planned acquisition of R.J. O'Brien. The tranche priced at par to yield 6.875%, following guidance floated in the 7% area. The company will also use cash on hand to fund the \$900 million purchase. Earlier in June, it entered into a restated \$650 million senior secured revolver due June 2028, which upsized the facility from \$500

million and pushed out the maturity from the previous April 2026 due date.

Skechers USA, via a bond package to fund its LBO by 3G Capital, also added to the recent ramp-up in cross-border bond issuance. After removing dollar-denominated seven-year secured notes from the offering, the fixed-rate debt was placed as €1 billion of seven-year (non-call three-year) senior secured notes (BB-/Ba3/BB-) at 5.25%, and \$2.2 billion of 10% cash/10.75% PIK eight-year senior PIK toggle bonds (B+/Caa1/B-). The euros priced at the tight end of 5.25% talk, and the PIK bonds priced in line with guidance and with a \$300 million downsize. The financing package also includes a \$1.55 billion seven-year term loan, a €1.25 billion seven-year term loan, and \$4.4 billion in common equity. Skechers has also entered into a \$1.6 billion revolver as part of the financing, according to a bond investor presentation.

Maxam Prill and **Czechoslovak Group** also successfully completed cross-border bond deals.

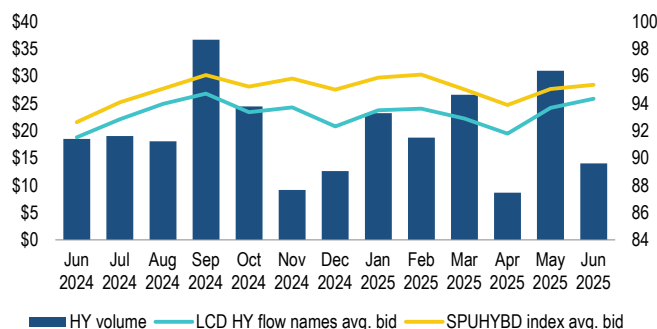
— Jakema Lewis

High-yield borrowers swoop on rapid recovery in eye of tariff storm

While the outlook isn't any clearer now than it was on "Liberation Day," high-yield borrowers pressed the pace in the second quarter, taking advantage of a remarkable full recovery in prices and spreads after early April market seizures. After a sluggish \$8.6 billion output in April, May's \$31 billion of issuance was followed by \$14 billion over the first 17 days this month, making it the busiest June since 2021, when borrowing costs plumbed record lows.

See [this story and the underlying Excel data on the PitchBook platform](#).

Monthly HY issuance volume (\$B) and secondary pricing



Sources: PitchBook | LCD; S&P US High Yield Corporate Bond Index • Volume data through June 17, 2025
Secondary pricing data through June 12, 2025

For a time, it wasn't clear when the markets would recover from "Liberation Day," which sparked the biggest single-week withdrawal from high-yield funds on record and sent broad-market spreads soaring. (At the highs, spreads were about 150 bps wide of the YTD low in February.)

But bellwether HY bonds (as measured by LCD's running flow-name bond sample) staged a furious comeback. The average bid level plunged more than three percentage points in the days after the April 2 tariff announcement, nearing 90% of par. By June, it had recovered that and more, topping 94% for three straight weeks to June 18. Its spread level, at T+409 on April 10, was down to T+268 by mid-June.

HY retail funds — which suffered outflows of more than \$13 billion across three weeks post April 20 — have recovered all but \$1 billion of that over eight straight inflows to June 18.

That's as high-yield maintained a slim lead over leveraged loans, investment-grade bonds and Treasuries through the Q2 return swings.

Per Morningstar indices, HY has returned about 2.5% in Q2 and 3.5% YTD, with those other categories all within striking distance. (Investment-grade bonds were up 0.6% for the quarter and 3% for the year.)

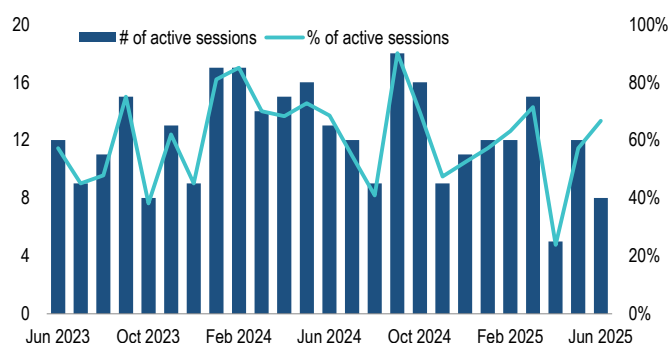
Making up for lost time

That weak April issuance total — about a third of last year's output and the lowest for the month since 2008 — reflected pricings during just five sessions all month. (The primary went quiet between the April 2 "Liberation Day" tariff announcement and April 15.)

That's just 24% of the available sessions.

But, as prices gained and investors reeled in slack spreads after the April shocks, that utilization surged to 57% of May's business days, and it was 67% from June 1-17, per LCD.

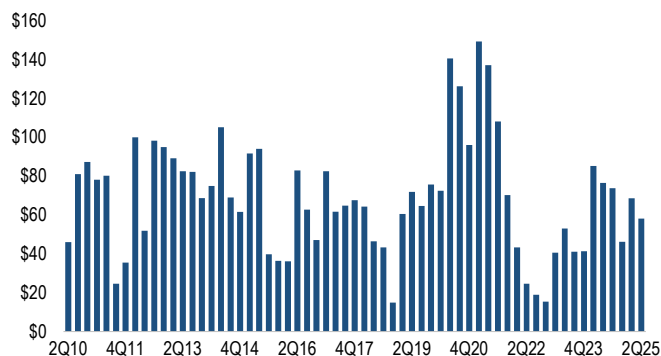
Active HY bond sessions per month



Source: PitchBook | LCD • Data through June 17, 2025

Even with the late-quarter momentum, though, issuance remains well off last year's pace (YTD volume was down 22% as of June 17) and versus ambitious initial syndicate projections for 2025.

US high-yield bond volume, quarterly (\$B)



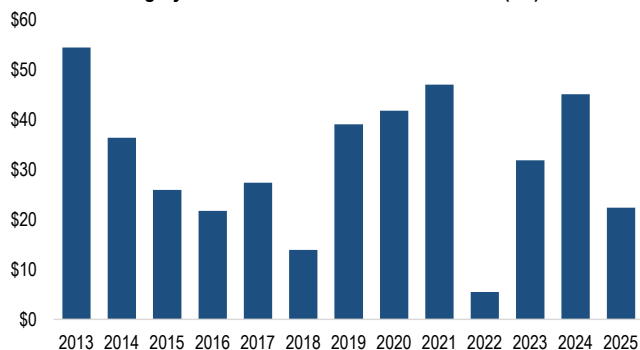
Source: PitchBook | LCD • Data through June 17, 2025

Refi retreats; M&A/LBO and recaps stir

Part of the lull is in opportunistic refinancings. Issuers had printed more than \$45 billion of bonds to this point last year to take out institutional and pro rata loans, a high since 2021. The tally is less than half that this year (\$22 billion).

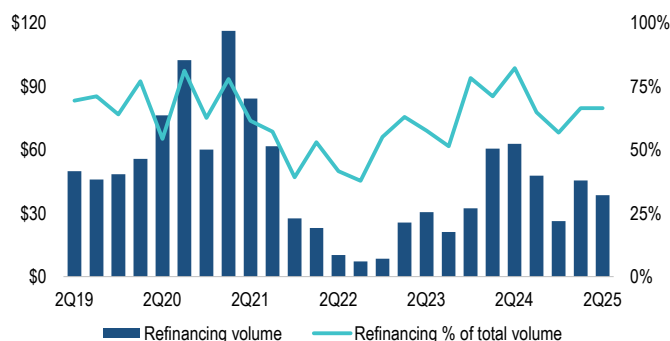
That's part of a larger downshift in refinancing from last year's fast clip.

YTD volume of high-yield bonds issued to take out loans (\$B)



Source: PitchBook | LCD • Data through June 13, 2025

US high-yield bond refinancing volume (\$B)



Source: PitchBook | LCD • Data through June 17, 2025

As a share of total issuance, the second quarter's 66% weighting to refinancing was consistent with the first quarter, both well below last year's marks of 82% in the second quarter and 71% in the first quarter.

For gross issuance totals, incremental debt — for more ambitious fiscal priorities, such as M&A/LBO funding or dividend payouts — has provided an offset to lower refinancing, but even there the totals are cooler than most had expected heading into the summer months.

Led by more than \$20 billion printed by non-sponsored companies, bond issuance for M&A and LBO funds was at a four-year high of \$27 billion to June 17.

M&A deals cleared for **Acrisure**, **New Home**, **Ryman Hospitality Properties**, **Herc Holdings**, **Shift4Pay**, **QXO**, **Excelerate Energy** and **Owens and Minor**. (Among those, only New Home is sponsored.)

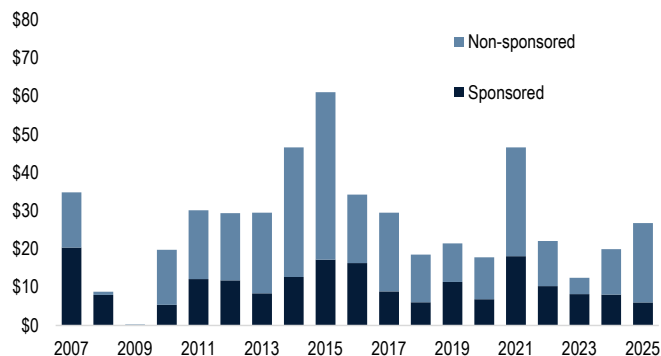
Meantime, bond funding for LBOs was sparse under the tariff shadow.

There were late-month pitches for **Skechers** and **Sizzling Platter** in June, but those were the first LBO bonds on offer since **Everi/IGT** (May 8), which itself was the first LBO deal since March.

LBOs are running at about 3% of this year's volume, same as last year and right around the level in pandemic-era 2020 (2.9%).

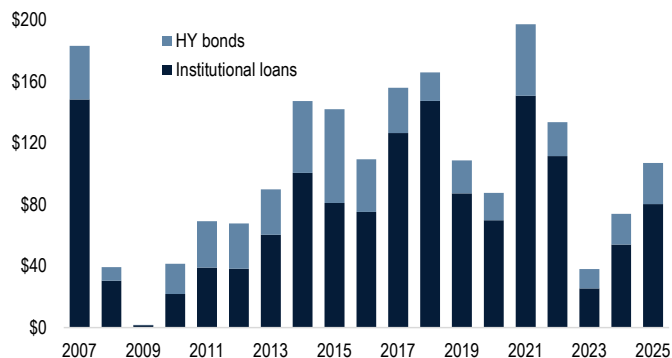
Under a Trump administration, desks were banking on a vigorous showing in LBOs this year, but that's a thready pulse: full-year shares were from 6-15% from 2021-2023, and the annual average was above 5% from 2010-2019, according to LCD.

M&A/LBO HY bond volume, YTD (\$B)



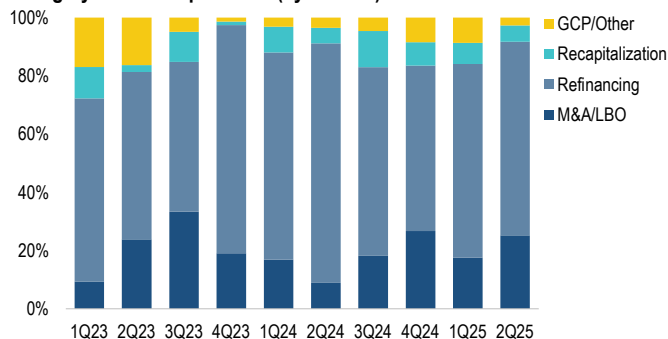
Source: PitchBook | LCD • Data through June 17, 2025

M&A/LBO leveraged finance volume, YTD (\$B)



Source: PitchBook | LCD • Data through June 17, 2025

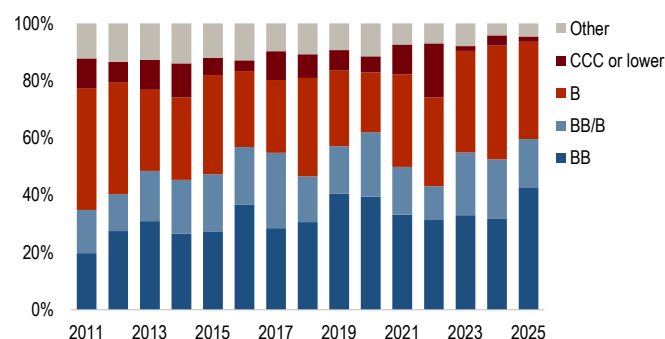
US high-yield use of proceeds (by volume)



Source: PitchBook | LCD • Data through June 17, 2025

While sponsors may be reticent to acquire, they are keen to extract. So far this year, PE sponsors have printed \$6 billion of bonds to pay themselves dividends, a high since 2011. Overall, volume for dividend recapitalization bonds has reached \$7.7 billion, more than the 2022-2024 totals combined. That's part of an even larger leveraged extraction led by variable-rate loans.

US high-yield bond rating distribution (by volume), YTD

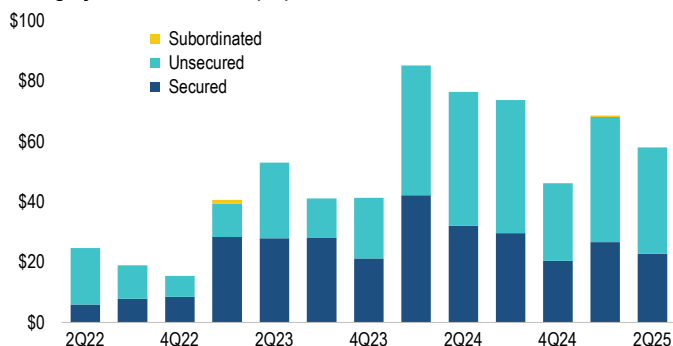


Source: PitchBook | LCD • Data through June 17, 2025

Bellwether double-B issuers and other opportunists retreated from the marketplace over the course of the Fed's suffocating rate-hike cycle, leading to an unprecedented minority (40%) of senior issuance in 2023.

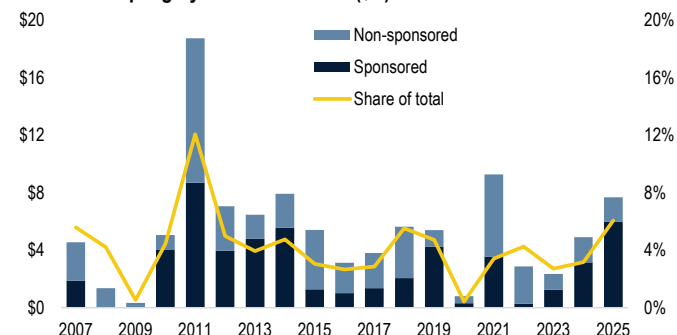
The issuers forced to lock in rates at the top of the rate hike cycle (for imminent debt maturities, ticking-clock M&A/LBO needs, etc.) generally were obligated to pledge collateral against shaky credit profiles and pernicious inflation.

US high-yield bond volume (\$B)



Source: PitchBook | LCD • Data through June 17, 2025

Dividend recap high-yield bond volume (\$B): Jan. 1 – June 17



Source: PitchBook | LCD • Data through June 17, 2025

So far, there are no signs of issuers rushing headlong to erect liquidity bridges, as they did in 2020 when lockdowns choked off cash flows. Deals broadly earmarked for GCP are about 8% of YTD issuance, double last year's low share, but less than half of 2020's 17%-plus.

Senior class

One area of concern is the clear skew to higher-quality issuers in this year's mix. Some 42% of all bonds have been double-B rated at issuance this year, an all-time high. Meantime, deals rated CCC or lower were 2% of volume, half of last year's rate and in line with 2023's historic low. As top-tier borrowers play an outsized role, senior unsecured issuance is running at about 60% of total issuance, up from 56% for all of last year. This is a trend towards "normalcy," as senior issuance was 67-69% from 2019-2022, and 70-80% from 2011-2018.

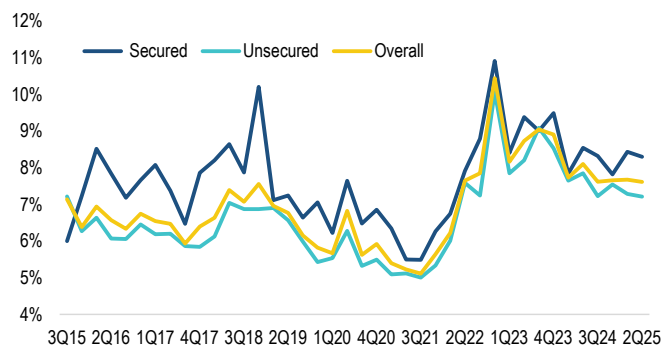
While the current macroeconomic outlook arguably is bleaker — or at least as uncertain — than under than that trailing inflation threat, funding conditions remain remarkably accommodative, the April downturn notwithstanding.

Since April — when issuers paid T+425 on average to clear new unsecured HY deals, a 15-month high — clearing spreads narrowed to T+277 in May (58 bps tighter year to year) and T+316 in early June (about unchanged year to year).

Meantime, monthly unsecured yields at pricing (including a low at 7% in March and a high at 8.13% in April) have been below year-ago levels in all six months so far in 2025.

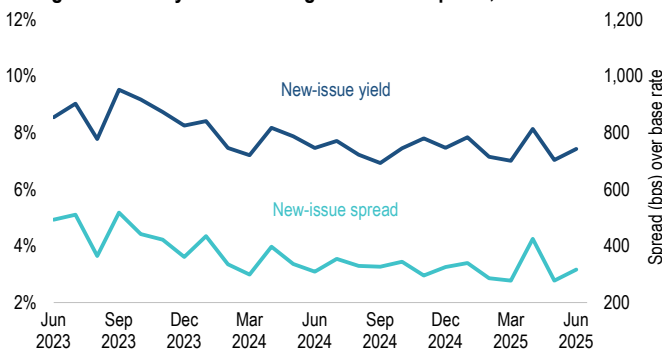
Four of the six tranches priced this year with sub-6% reoffer yields priced in May, via double-B borrowers **Carnival Cruises, Teva Pharmaceutical, Crown Holdings** and **Seagate Data Storage**.

New-issue yields for US high-yield bonds



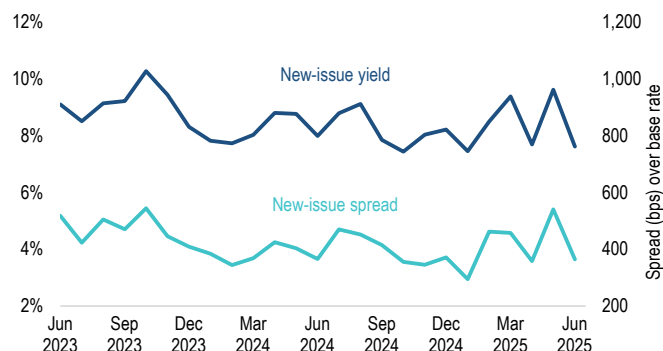
Source: PitchBook | LCD • Data through June 17, 2025

Average new-issue yield vs. average new-issue spread, unsecured



Source: PitchBook | LCD • Data through June 17, 2025

Average new-issue yield vs. average new-issue spread, secured



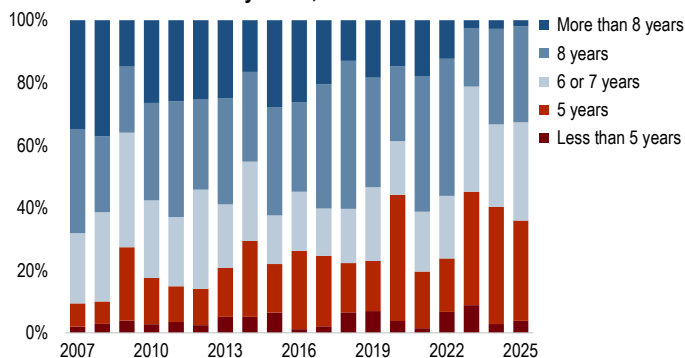
Source: PitchBook | LCD • Data through June 17, 2025

Keep it short(ish)

Resilient costs are allowing issuers to stretch their maturities, if gradually. The share of deals dated five years or less has subsided to 36% this year, from 40% last year and an all-time high of 45% in 2023. Issuers narrowed their funding horizons during the lockdowns as well (that share was 44% in 2020).

On an historical basis, though, this ongoing concentration of shorter terms remains unusual, and it perhaps adds to refinancing risks down the road. From 2010 to 2019 (and also in 2021), the share of deals dated five years or shorter never exceeded 30%, and it averaged 21% during those years.

US HY bond tenor share by count, YTD



Source: PitchBook | LCD • Data through June 17, 2025

Meantime, there are just three deals on the books this year dated longer than eight years (**Builders FirstSource**, **Venture Global Plaquemines** and **Bread Financial Holdings**). There were 73 to this point in 2021, and 56 on average over the previous 10 years, including a record 89 in 2011.

— John Atkins

High-yield secondary market: Chasing the sun

Cash-bond prices advanced over the week and the new-issue pipeline churned as a roiling geopolitical backdrop failed to diminish risk appetite. Treasury rates eased further off their June peaks, while spreads edged five basis points tighter from Monday's open, to 293 bps off the curve, well below the three-month average of T+332. Meanwhile, the option-adjusted spread on LCD's flow-name sample of liquid high-yield issues tightened 19 bps this week, to T+282, and the average bid rose 102 bps, to 95.18% of par, as 13 of the 15 constituent issues traded higher.

Gray Media's 5.375% senior notes due 2031 logged the most significant gains in the flow-name sample, adding 4.25 points to trade around 15 points above their early-May levels, at 74.5 for a yield of roughly 11.04%. That's as the company continues to draft optimism surrounding the deregulation of the broadcasting industry.

Against those gains, there was one unchanged level, for **Tenet Healthcare's** issue, and one decliner, **Transocean's** 8.75% senior 2030 bonds. The latter pared intraweek losses to 0.75 points as oil prices recovered from a sharp slide early this week and were changing hands in a 102.75 context for a 4.45% yield.

Another notable energy-sector decliner was **Vital Energy's** (NYSE: VTLE) March print of 7.875% eight-year senior bonds, which tumbled 2.25 points to an 85 context and an 11.06% yield after touching a nine-week high of 92 on June 13. Raymond James analysts downgraded Vital Energy's stock to Underperform, from Outperform, citing the company's relatively high 1.9x leverage ratio and its lower inventory life in the Permian Basin.

The energy picture also weighed on **Crescent Energy Finance's** Monday offering of 8.375% 8.5-year senior notes, knocking the bonds down to low trades at 99.25, from 100.375/100.75 on the break. Meanwhile, a par-priced \$650 million offering of 9.125% five-year senior notes (BB-/B3/BB-) for **Tidewater Inc.**, which provides offshore support services, probed 103 on the highs even after pricing through guidance in the 9.50-9.75% range.

The week's smorgasbord of new prints included tightly priced M&A offerings from **Sizzling Platter** (9.5% seven-year senior secured notes) and **StoneX Group** (6.875% second-lien senior secured notes), which traded up at 102.25 and 101.25, respectively. The trend toward cross-border deals was represented by **Czechoslovak Group's** \$1 billion print of senior secured 5.5-year notes, priced through initial whispers in the 6.75% to yield 6.5%. Proceeds, along with those of

a concurrent €1 billion placement of 5.25% notes also due 2031, are earmarked to refinance €717 million of dollar-denominated FRNs that the issuer priced in December at S+700. The dollar bonds were quoted in a 101.1/101.35 context, according to MarketAxess.

Azorra Aviation Holdings' \$550 million placement of 7.75% 5.5-year senior notes was trading on the highs on Thursday, at 101.5, while **Delek Logistics Partners'** \$700 million print of 7.375% eight-year senior notes was hovering around par re-offer after topping out at 100.75. On the other hand, **Lendmark Financial Services'** tender-backing offering of 8.75% five-year senior notes was lingering on the lows, at 98.75, after pricing at an OID of 98.989 to yield 9%. Top trades for those notes, which had been guided for a yield in the 8.75-9% range, came at 99.5.

— Mairin Burns

LCD bond flow names				as of Jun 26, 2025	
Issuer	Coupon	Maturity	Rating	Price	Δ from last week
Bombardier	7.50%	Feb 2029	B-/B2	104.63	0.38
Sirius XM Radio Inc	3.88%	Sep 2031	BB/Ba3	88.63	1.13
Medline Industries Inc.	5.25%	Oct 2029	B-/Caa1	99.25	1.13
Tenet Healthcare	6.13%	Oct 2028	B-/B3	100.25	0.00
Transocean Inc	8.75%	Feb 2030	B-/B2	102.88	-0.75
CCO Holdings	4.50%	May 2032	BB/B1	92.88	1.75
Tronox Inc.	4.63%	Mar 2029	BB-/B1	86.25	0.75
Citrix Systems	9.00%	Sep 2029	B-/Caa2	103.25	0.75
Block Inc.	6.50%	May 2032	BB+/Ba2	103.13	0.88
Ball Corp	3.13%	Sep 2031	BB+/Ba1	89.38	1.00
Hilton Domestic Operating	4.00%	May 2031	BB/Ba2	93.63	1.00
Gray Media Inc.	5.38%	Nov 2031	B-/Caa1	74.50	4.25
Organon & Co.	5.13%	Apr 2031	BB-/B1	86.75	1.38
Avantor	4.63%	Jul 2028	B/B3	98.75	1.25
Teva Pharmaceutical	6.75%	Mar 2028	BB/Ba2	103.63	0.50
Average	5.68%			95.18	1.02

Source: PitchBook | LCD

High-grade market: On the regular

Remarkably consistent deal flow in June included a roughly \$32 billion influx June 23-26, which blasted past subdued expectations for about \$20-25 billion for the entire week. Issuance is \$96 billion for June, and a Monday issuance window on June 30 will close out a turbulent, but ultimately productive, quarter.

After May's dramatics (there were six double-digit session totals last month, including a \$25 billion session on May 6), June's totals are more regulated. No session has topped \$10 billion, and the average session produced \$6.8 billion (\$7.9 billion this week), from \$8.8 billion in May.

Still, June's is a strong showing given the strength of the headwinds buffeting global markets. Last year, issuance was similar at \$97 billion all month, up from \$89 billion in June 2023 and \$69 billion in June 2022.

Issuance for this year (\$852 billion) is about 2% ahead of last year's hot pace. (These totals trail only the \$1.14 trillion printed through June 2020 as the Fed

played lender of last resort during the pandemic.)

All of this week's supply backed refinancing or general corporate needs. Those fundings are the driving force for this year's strong pace, as acquisition-driven deal flows disappoint to the downside under what was expected to be a supportive regime in Washington. M&A issuance held at \$36 billion for the quarter, half the first-quarter amount (\$73 billion) and about \$5 billion less than the total in Q2 2024. YTD M&A volume (\$109 billion) is 13% less year to year and just 6% ahead of the 2023 pace.

As for trailing efforts, the EU put **Mars Inc.**'s \$43 billion play for snacks giant **Kellanova** under intense scrutiny for potential consumer impact. Mars priced \$26 billion of bonds to back the deal, and that harsh spotlight stopped a tightening move in its tracks. The \$5 billion tranche of 5.20% 2035 notes, which traded at all-time tights at T+76 mid-month, backed up to T+83-84 this week. (That's still firm versus a T+95 reoffer spread at pricing on March 5.)

Meantime, a relative hot streak for IG corporate performance — in a previously chilly year for performance broadly — includes a 1.3% gain June 1-25 (per the Morningstar index), keeping pace with HY this month and narrowing the YTD gap to half a point. (To June 25, HY is up 4.1% and IG is up 3.6%, per Morningstar.)

Trading in bank bellwethers is indicative of this positive trajectory. One of the week's most active issues — **Bank of America**'s 5.464% senior notes due 2036 — traded Thursday at 102% of par to yield 5.20%, or T+93. That spread matches the all-time tightest trade recorded earlier this month, and it was sharply tighter from pricing (at par) at T+115 on May 6.

As for tariff bellwethers, **Ford Motor Credit** 6.50% 2035 notes — priced early January at T+193 — linger wide of pricing (trades were T+235 Thursday) and just shy of par. Still, that's a marked improvement since the notes touched T+312 (95% of par) in early April post the initial April 2 tariff shocks.

— John Atkins

U.S. corporate bond spreads and yields: June 25, 2025 (changes in bps)

		One day	One week	One month	YTD	3-month average	YTD range	YTD total return	3-month total return
High-grade									
Treasury spread (OAS, bps)	81	2	5	0	10	87	67 - 105	3.52%	1.90%
Yield (%)	5.08%	-1	-10	-26	-26	5.26%	5.05% - 5.51%		
High-yield									
Treasury spread (OAS, bps)	293	1	-2	-25	24	332	250 - 420	4.08%	2.64%
Yield (%)	7.39%	-2	-18	-42	-11	7.80%	7.25% - 8.49%		
Crossover (rated BBB and/or BB)									
Treasury spread (OAS, bps)	111	2	5	-3	12	121	92 - 146	3.75%	2.11%
Yield (%)	5.38%	-1	-11	-28	-25	5.60%	5.36% - 5.91%		
Risk premiums									
High-grade/High-yield differential	212	0	-6	-25	14	245	178 - 315		
High-grade/Crossover differential	30	0	0	-3	2	34	25 - 41		
AA/BBB differential	45	0	0	-9	3	54	41 - 63		
BBB/BB differential	83	0	-2	-7	3	96	62 - 138		

Source: S&P Dow Jones, LLC

Distressed market: Out of sync

As the second quarter of 2025 winds down, a wave of credit downgrades and restructuring moves has underscored deepening financial stress across sectors, with May marking the highest monthly global default count in nearly five years, according to S&P Global Ratings.

The global corporate default count hit 19 in May, the highest monthly tally since October 2020, according to S&P Global Ratings. The year-to-date default count stands at 53 as of May 31, below the 69 defaults at the same point in 2024, the agency said.

Regionally, the US led May's default count with nine, bringing its YTD total to 30, while Europe saw six defaults in May, for a YTD tally of 16, S&P noted.

In corporate news, automobile chip maker **Wolfspeed Inc.** inked a restructuring support agreement (RSA) with stakeholders to restructure its balance sheet and cut debt by around \$4.6 billion via a Chapter 11 bankruptcy filing that is expected to take place by July 1.

Transactions outlined in the RSA include holders of senior secured notes exchanging into new notes, with \$250 million of the secured notes redeemed at 109.875; holders of \$5.2 billion of convertible notes and Renesas' existing loan exchanging into \$500 million of new second-lien notes plus 95% of the new common stock; and current equity holders converting into 3% or 5% of the new common stock (depending on certain regulatory approvals).

In addition, Wolfspeed will issue \$275 million of new second-lien convertible notes in a transaction backstopped by certain current convertible noteholders.

In ratings activity, S&P downgraded rehabilitation and physical therapy company Upstream Newco Inc., dba **Upstream Rehabilitation**, to CCC, from CCC+, citing weakening liquidity. Upstream's first-lien term loan and revolver were also cut to CCC, from CCC+, while its second-lien term loan was lowered to CC, from CCC-.

Upstream's 2024 revenue grew 1%, versus S&P projections for 5% growth, while EBITDA margins narrowed, with a resultant decline in liquidity, the agency said. S&P has lowered its 2025 projections, forecasting leverage of roughly 16.3x this year.

Moody's downgraded **Liberty Communications PR Holding LP** and LCPR Senior Secured Financing DAC's senior secured rating and LCPR Loan Financing LLC's term loan to Caa1, from B3, saying it views Liberty PR's liquidity as "weak."

Moody's expects the issuer to struggle because of its limited scale, operating in two markets, the US Virgin Islands and Puerto Rico, which are relatively small and competitive.

S&P downgraded medical imaging company **Carestream Health Inc.** to CCC+, from B-, citing declining revenue and cash flow. S&P also downgraded the company's senior secured rating to CCC+, from B-.

S&P said Carestream's revenue fell \$53 million in 2025's first quarter, on the heels of a \$25 million decline in revenue in 2024's fourth quarter, with the decline attributed to customers transitioning to digital medical records, especially in China. Carestream's digital radiography business is also experiencing sales declines, S&P said.

Moody's downgraded automotive supplier Burgess Point Purchaser Corporation, dba **Terrepower** and fka BBB Industries, to Caa2, from B3, citing the company's "weak" liquidity. The agency also lowered Terrepower's senior secured bank debt to Caa1, from B2.

In 2025, Terrepower may grow revenue following its acquisition of All Star Auto Lights in August 2024 and expand EBITDA margins on cost cuts, Moody's said, adding that Terrepower may also continue to generate negative free cash flow.

S&P downgraded natural food ingredient supplier FFP Holdings Group Inc., dba **Florida Food Products**, to CCC-, from CCC, citing rising default risk because of cash flow deficits. S&P also lowered Florida Food's first-lien debt to CCC-, from CCC, and its second-lien term loan to C, from CC.

Florida Food's sales in 2025's first quarter declined 19% and EBITDA fell 40%, S&P said, reflecting weak demand, a weak macroeconomic environment, increasing competition and rising costs, among other things. As a result, S&P foresees risks to refinancing the company's \$50 million revolver (\$45 million outstanding), which becomes current this October.

S&P downgraded bath fixtures manufacturer CP Atlas Buyer Inc, dba **American Bath Group** (ABG) to CCC+, from B-, citing rising leverage. S&P also downgraded the company's debt, lowering its first-lien rating to CCC+, from B-, and its second-lien rating to CCC-, from CCC. ABG currently has new first-lien and second-lien debt in the market.

S&P said American Bath's revenue fell 5% in 2025's first quarter compared to 2024's first quarter, as US housing remodel & repair activity and new home construction

declined. As a result, the agency projects credit metrics will weaken.

S&P downgraded plastics distributor **GPD Companies Inc.**, fka Nexeo Plastics, to Selective Default, or SD, from CC, citing a completed exchange offer of its 10.125% senior unsecured notes due 2026 for cash plus new 12.5% senior secured notes due 2029.

S&P said it considered the par-for-par transaction to be “distressed” because noteholders weren’t adequately compensated for the extended maturity.

Moody’s also weighed in on GPD after the debt swap, affirming its Caa1 rating. The agency also revised GPD’s outlook to positive, from stable, assigned a Caa2 rating to the new 12.5% notes and temporarily appended a limited default designation to the company’s probability of default rating (PDR), revising it to Caa1-PD/LD.

Moody’s noted that GPD reduced roughly \$175 million of the notes’ outstanding balance by applying Distrupol sale proceeds, while a \$40 million equity injection by sponsor One Rock Capital Partners was used to partially fund the exchange’s cash component.

Away from downgrades, Moody’s and S&P both chimed in on pet food maker Woof Holdings LLC, dba **Wellness Pet**, after a balance sheet restructuring.

Moody’s affirmed Wellness Pet at Caa3, and revised its outlook to stable, from negative. The agency also temporarily appended a limited default designation to Woof’s PDR, revising it to Caa3-PD/LD.

Wellness Pet put in place a new \$100 million first-lien first-out loan while existing first-lien and second-lien lenders, as well as sponsor Clearlake, swapped into new debt.

Recent loan defaults tracked by LCD

Issuer	Deal date	Default date	Initial inst'l amount (\$M)
Altice France S.A.	Mar-17	Jun-25	5,768
Weight Watchers International Inc	Mar-21	May-25	1,000
HealthChannels	Mar-18	Apr-25	250
Ascend Performance Materials LLC	Aug-19	Apr-25	1,100
RugsUSA.com Inc	Oct-21	Mar-25	500
Mitel Networks Corp	Nov-18	Mar-25	1,120
Aimbridge Hospitality	Feb-19	Jan-25	994
Container Store	Nov-20	Dec-24	200
Hearthside Food Solutions LLC	May-18	Nov-24	1,760
Spirit Airlines	Mar-20	Nov-24	0
CareMax Inc	Apr-22	Nov-24	0
Correct Care Solutions LLC	Sep-18	Nov-24	610
Franchise Group Inc	Feb-21	Nov-24	1,300
Exactech	Jan-18	Oct-24	235
American Tire Distributors Inc	Sep-21	Oct-24	1,000
Accuride Corp	Oct-16	Oct-24	225
Tupperware Corp	Nov-21	Sep-24	0
Wheel Pros Inc	May-21	Sep-24	1,175
Rodan & Fields	Jun-18	Jul-24	600
Oxea Group	Oct-17	Jun-24	500

Source: PitchBook | LCD

Moody’s believes that following the restructuring, Wellness Pet continues to carry “unsustainably high” leverage, while it runs negative free cash flow and faces challenges in completing an operational turnaround.

S&P, meanwhile, upgraded Wellness Pet to CCC+, from SD, citing the company’s improved liquidity after the restructuring. S&P said management has “outlined various initiatives” to reduce revenue declines and improve margins.

S&P upgraded photo printing company Photo Holdings LLC, dba **Shutterfly**, to B-, from CCC+, citing improved credit metrics. S&P also upgraded the company’s secured ratings by one notch.

S&P projects that Shutterfly will show no revenue growth this year, but gain around 3% in 2026, along with margin improvements leading

to higher EBITDA in 2025. The agency also said the company’s free operating cash flow (FOCF) covered all interest expense in 2024, and that the agency expects positive FOCF this year and in 2026 as well.

S&P upgraded tape and film maker Iris Holdings Inc, dba IPG and also known as **Intertape Polymer Group**, to B-, from CCC+, citing improving profitability. S&P also upgraded the company’s secured term loan to B-, from CCC+, and the senior unsecured notes to CCC, from CCC-.

S&P projects EBITDA margin improvement despite a “slower demand environment” because of lower raw material costs and productivity improvements. The agency also foresees annual low-to-mid-single-digit percentage gains in revenue after 2025 and “modest deleveraging” over the next few years.

— Jack Hersch

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